

average decrease at the ninetieth percentile and a 3 percent average decrease at the median and tenth percentiles.

Next, Exhibit 6.20 shows the outcomes for the Kitces ratcheting rule. This is a rule that allows for spending increases but not decreases. As such, the initial spending rate is the same as with baseline, and at the tenth percentile of outcomes, spending will stay the same. Where this strategy differs is when markets do well. At the ninetieth percentile, real spending increases by 136 percent after thirty years, and it is 61 percent higher at the median. There is no downside spending volatility.

Guyton and Klinger's series of decision rules provide the next approach in the exhibit. This strategy supports an initial spending rate of 6.34 percent. After thirty years, spending grows by an additional 46 percent at the ninetieth percentile, though spending decreases can be expected at the median (−29 percent) and tenth percentile (−54 percent). Relative to the baseline, spending is 122 percent higher at the ninetieth percentile, 8 percent higher at the median, and 31 percent lower at the tenth percentile. Annual spending reductions average 1 percent at the median and 2 percent at the tenth percentile.

Zolt's Target Percentage Adjustment rule is next, and this rule supports a 6.89 percent initial spending rate. After the first year, real spending never increases, but it may decrease. Spending falls by 26 percent after thirty years at the ninetieth percentile, and by 53 percent at the median and 75 percent at the tenth percentile. Relative to the baseline, real spending is 22 percent larger at the high end, 22 percent less at the median, and 60 percent less at the tenth percentile. Average spending reductions range from 1 to 2 percent.

The final strategy is the modified RMD rule. The PAY Rule calibration allows for distribution rates to be 1.6 times that shown in the government's RMD tables. This provides a 5.17 percent initial withdrawal rate. After thirty years, real spending grows by 31 percent at the ninetieth percentile and falls by 19 percent and 45 percent at the median and tenth percentile. Relative to the baseline, median spending is quite close to the same, while spending is 62 percent higher at the top and 32 percent lower at the bottom.